

2. Because of this fact it follows that there is no generally known method of chart reading that has been continuously successful for a long period of time.² If it were known, it would be speedily adopted by numberless traders. This very following would bring its usefulness to an end.

3. *Theoretical Basis Open to Question.* The theoretical basis of chart reading runs somewhat as follows:

- a. The action of the market (or of a particular stock) reflects the activities and the attitude of those interested in it.
- b. Therefore, by studying the record of market action, we can tell what is going to happen next in the market.

The premise may well be true, but the conclusion does not necessarily follow. You may learn a great deal about the technical position of a stock by studying its chart, and yet you may not learn *enough* to permit you to operate profitably in the issue. A good analogy is provided by the “past performances” of race horses, which are so assiduously studied by the devotees of the race track. Undoubtedly these charts afford considerable information concerning the relative merits of the entries; they will often enable the student to pick the winner of a race; but the trouble is that they do not furnish that valuable information *often enough* to make betting on horse races a profitable diversion.

Coming nearer home, we have a similar situation in security analysis itself. The past earnings of a company supply a useful indication of its future earnings—useful, but not infallible. Security analysis and market analysis are alike, therefore, in the fact that they deal with data that are not conclusive as to the future. The difference, as we shall point out, is that the securities analyst can protect himself by a *margin of safety* that is denied to the market analyst.

Undoubtedly, there are times when the behavior of the market, as revealed on the charts, carries a definite and trustworthy meaning of particular value to those who are skilled in its interpretation. If reliance on chart indications were confined to those really convincing cases, a more positive argument could be made in favor of “technical study.” But such

² Adherents of the Dow theory claim that it has been continuously successful for a great many years. We believe this statement to be open to much doubt—turning, in part, on certain disputed interpretations of what the theory indicated on various key occasions.